**MAHATMA GANDHI UNIVERSITY, KOTTAYAM**
**MGU-UGP (HONOURS)**
**FIFTH SEMESTER EXAMINATION -MODEL QUESTION PAPER**
**(2024 ADMISSION ONWARDS)**
**MG5DSECOM300 – FINANCIAL REPORTING**

Duration: 2 hr Maximum Marks: 70

***Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.***

## Section A
## (Very Short Questions)
**Answer any 12 out of 14 questions. Each question carries 1 mark**

1. What is financial reporting [U][CO1]
2. Assets expected to be realised or consumed within the normal operating cycle are classified as _---------- assets. [U][CO1]
3. A company's total assets are ₹12,48,765 and total liabilities are ₹7,36,425. If the figures are to be rounded off to the nearest thousand, calculate the rounded amounts. [A][CO2]
4. What is fair value? [U][CO2]
5. A company uses several computers to monitor the production process in its factory. Under which Accounting Standard will these computers be accounted for?. [U][C03]
6. State the rule for inventory valuation[U][CO3]
7. The systematic allocation of the depreciable amount of an intangible asset over its useful life is called ----------.[U][CO3]
8. Investments that are readily realisable and intended to be held for not more than one year are classified as ---------- investments.[U][CO3]
9. Interest revenue is recognised on a --------- basis.[U][CO4]
10. Write the formula for calculating Basic Earnings Per Share [ U][CO4]
11. The tax effect arising from timing differences is recognised as -------- tax[U][CO4]
12. An annual report provides information about the financial and --------- performance of a company[U][CO4]
13. Information that a company is required to disclose by law or regulations is called --------- disclosure. [U][CO4]
14. Expand XBRL. [U][CO4]

## Section B
## (Short Answer)
**Answer any 4 out of 6 questions. Each question carries 7 Marks**

15. The following information relates to ABC Ltd. for the year ended 31 March 202X. (₹ in lakhs)Prepare the Statement of OCI and calculate Total Comprehensive Income.[A][CO1,CO2]

| Particulars | Amount |
|---|---|
| Profit for the year | 15,000 |
| Revaluation gain on PPE | 1,200 |
| Gain on equity instruments through OCI | 500 |
| Actuarial loss on defined benefit plan | 100 |
| Foreign currency translation gain | 350 |
| Gain on debt instruments through OCI | 450 |
| Income tax relating to OCI | 300 |

16. Explain the limitations of Financial Reporting.[U][CO1,CO2]
17. Describe the revenue recognition principles applicable to special cases of sale of goods.[U][CO4]
18. In a production process, normal wastage is estimated at 5% of the input. During the year, 5,000 MT of raw material were introduced into the production process, resulting in a total wastage of

300 MT. The cost of the input material is ₹1,000 per MT. The entire quantity of waste remains in stock at the end of the year. Determine how will you value the inventory?[A][CO3]

19. Calculate the basic and Diluted Earnings Per Share (EPS) from the following information:[A][CO4]

| Particulars | Amount / Details |
|---|---|
| Net Profit for the current year | ₹72,00,000 |
| Equity Shares outstanding | 18,00,000 shares |
| Number of 10% Convertible Debentures of ₹100 each | 80,000 debentures |
| Conversion terms | Each debenture is convertible into 8 Equity Shares |
| Interest expense for the year | ₹8,00,000 |
| Tax rate relating to interest expense | 25% |

20. Explain the meaning and objectives of XBRL reporting.[U][CO4]

**Section C**

**( Essay Questions)**

**Answer any 2 out of 3 questions. Each question carries 15 Marks**

21. Mr. Investor furnishes the following details relating to his holding in 16% debentures (₹ 100 each ) of Y Ltd. Held as current assets :

    01.01.201x opening balance –Face value ₹ 60,000 , cost ₹ 59,000
    01.03.201x 100 debentures purchased ex-interest at ₹ 98.
    01.07.201x sold 200 debentures ex-interest at ₹ 100.
    01.10.201x purchased 50 debentures at ₹ 98 cum-interest.
    01.11.201x sold 200 debentures ex-interest at ₹ 99.
    Interest dates are 30th September and 31st March. Mr. Investor closes his books every 31st December. Brokerage @ 1% is to be paid for each transaction. Show the investment accounts as it would appear in his books. FIFO method is to be assumed. Market value of 16% debentures of Y Ltd. On 31.12.201x was ₹ 99.[A][CO3]

22. M Ltd. contracted with a supplier to purchase machinery with a useful life of 12 years, to be installed in one of its departments in two months' time. Special foundations were required for the machinery, which were to be prepared within this supply lead time. The cost of the site preparation and laying foundations was 2,40,000. A technician supervised these activities throughout the period and is employed for this purpose at 35,000 per month. The machine was purchased at 50,00,000, and transportation charges of 50,000 were incurred to bring the machine to the factory site. An Architect was appointed at a fee of 30,000 to supervise machinery installation at the factory site. You are required to ascertain the amount at which the Machinery should be capitalized. Also determine the yearly depreciation if the residual value of the machinery is 10% of the purchase price (CO3) (A)
23. Describe the accounting treatment prescribed under AS 22 for taxes on income and AS 26 for intangible assets.[U][CO3,CO4]